

Multiple Choice (10 marks)

1. An organization can offer standard products at acceptable levels of quality, yet still generate above-average profit margin by adopting _____
 - (a) Differentiation.
 - (b) Cost leadership.
 - (c) Focus strategy.
 - (d) Branding strategy.
 - (e) Growth strategy.
2. The Weekly Globe has a circulation of 352,579. Its rate is \$1.18 per agate line. What is the millinerate?
 - (a) \$1.18
 - (b) \$352,579
 - (c) \$2.84
 - (d) \$3.35
3. Max Flaum had a note for 2400. *He discounted it 30 days before it was due. The bank paid him 2389,* find the discount rate.
 - (a) 3%
 - (b) 6.5%
 - (c) 7%
 - (d) 4.75%
 - (e) 4.5%
4. What is the difference in annual premiums of a \$10,000 20-payment life policy purchased at age 30, as opposed to the same policy purchased at age 20?
 - (a) \$48.90
 - (b) \$40.05
 - (c) \$35.50
 - (d) \$75.20
 - (e) \$10.00
5. According to Evan and Freeman (1993), the Principle of _____ and the Principle of _____ can be used in a specific situation to determine who constitutes a _____.

- (a) Corporate liability, Corporate effect, Stakeholder
- (b) Corporate rights, Corporate effect, Stakeholder
- (c) Corporate rights, Corporate effect, Shareholder
- (d) Corporate responsibility, Corporate effect, Shareholder
- (e) Corporate rights, Corporate liability, Shareholder

True / False (10 marks)

Answer True or False

- 6. True or False: Contextual advertising primarily relies on demographic data rather than real-time content analysis to serve ads.
- 7. True or False: Mass communication primarily relies on individual interactions to educate audiences rather than broad media outreach strategies.
- 8. True or False: The Operant Conditioning theory suggests that behavior is primarily influenced by social values and personal beliefs.
- 9. True or False: The difference in insurance costs between a Class A town and a Class B town for a 24,000house is 7.20.
- 10. True or False: Transactional leaders are characterized by their ability to guide, mentor, and motivate their team members effectively.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Analyze Miss Florence Parrish's compensation structure, including her salary and commission. Calculate her total earnings for January based on her sales and discuss the implications of such a compensation model in sales roles.
- 12. Analyze Ms. Edwards' financial situation by calculating her marginal propensity to consume and marginal propensity to save. Discuss the implications of these figures on her economic behavior.

End of Paper